

B.E. 4th Semester Theoretical Examination, 2022-2023

Subject: Economics and Accountancy | **Course:** HSM-HU-401

Q1. Economics and Markets

- **Micro vs Macro:** Micro studies individuals/firms (prices). Macro studies the entire economy (GDP, inflation).
- **Market Types:** Perfect Competition, Monopoly, Oligopoly, Monopolistic Competition.

Q2. Demand and Elasticity

- **Demand Determinants:** Income, price of related goods, tastes, future expectations.
- **Elasticity:** Elastic (>1 , luxury), Inelastic (<1 , necessities).

Q3. Revenue and Perfect Competition

- **AR vs MR:** Average Revenue is Total/Quantity. Marginal Revenue is extra revenue from one more unit.
- In perfect competition, firms are price takers. Profit maximized where $MR = MC$.

Q4. Production Functions

- **Law of Variable Proportions:** Adding variable inputs (labor) to fixed inputs (land) initially increases output rapidly, then slower, and eventually declines.

Q6. Macroeconomic Variables and Accounting

- **Inflation:** Sustained increase in general price levels. Controlled by Central Bank interest rates.
- **Asset vs Liability:** Asset = owned value generating future benefit. Liability = debt owed to outsiders.

Q7. Accounting Cycle

- Source Documents $\rightarrow$ Journalizing $\rightarrow$ Ledger $\rightarrow$ Trial Balance $\rightarrow$ Financial Statements (Income statement & Balance sheet).